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Theoretical Parts

IN 10 POINTS

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SUBJECTS ONLINE

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Public Finance II — Chapter One & Two: Key Points, Explanations & Practice MCQs

POINT 1: Meaning and Nature of Public Expenditure

Public expenditure is spending made by the government of a country for the satisfaction of public goods such as pension, provision, and infrastructure. The nature of public expenditure differs from country to country. In developing countries it aims at socio-economic transformation, while in developed countries it mainly checks fluctuations in effective demand. Public expenditure has a multiplier effect on output and employment, raises real income and quality of life, but also tends to push up prices by injecting purchasing power.

شرح بسيط : الإنفاق العام ببساطة هو الفلوس اللي بتصرفها الحكومة على احتياجات الناس — زي المعاشات والبنية التحتية والصحة. طبيعته بتختلف من بلد لبلد: البلد النامية زي مصر بتستخدمه عشان تنمية وتغيير اجتماعي، والبلد المتقدمة بتستخدمه عشان تتحكم في تقلبات الطلب. والمهم إنه بيعمل "multiplier effect" يعني الجنيه اللي بتصرفه الحكومة بيؤد أكثر من جنيه في الاقتصاد. لكن خد بالك: نفس الإنفاق اللي بيرفع مستوى المعيشة ممكن يرفع الأسعار في نفس الوقت.

MCQs:

Q1. Public expenditure is defined as spending made by the government for:

- A) Private profit maximization
- B) Satisfaction of public goods such as pension and infrastructure
- C) Financing private businesses only
- D) Reducing government debt

Answer: B

Q2. In developing countries, the main objective of public expenditure is:

- A) Checking fluctuations in effective demand
- B) Reducing government size
- C) Socio-economic transformation and growth with social justice

D) Eliminating all forms of taxation

Answer: C

Q3. Public expenditure has a _____ effect on the level of output and employment:

A) Neutral

B) Negative

C) Multiplier

D) Substitution

Answer: C

Q4. Public expenditure in developed countries is mainly undertaken to:

A) Fund wars and military operations

B) Achieve rapid industrialization

C) Check fluctuations in effective demand

D) Replace private sector investment

Answer: C

Q5. One negative side effect of public expenditure is its tendency to:

A) Reduce real income

B) Lower quality of life

C) Push up prices by injecting purchasing power

D) Decrease aggregate demand

Answer: C

 **POINT 2: Historical Views of Public Expenditure (Traditional vs. Modern)**

The Traditional View: Classical economists (Adam Smith, Ricardo, Say) were opposed to increasing public expenditure for two main reasons:

1. The state's functions should be restricted to justice, police, and arms.
2. Government expenditure is wasteful; private persons can utilize money better. Say observed that the best plan of finance is to spend little. Ricardo stated that to have a peaceful government, the budget must be reduced.

The Modern View: After the Great Depression of the 1930s, increased attention was paid to public expenditure. Prof. R.A. Musgrave highlighted the significance of public household. Modern economists argue for increased state intervention due to socialist ideas and democracy. Public expenditure gained importance for two reasons:

1. Economic activities of the state have increased in many ways.
2. Public expenditure can have important effects on production, distribution, and the general level of economic activity.

شرح بسيط : فيه وجهتين نظر تاريخيتين:

التقليدية: الاقتصاديين الكلاسيك زي آدم سميث وريكاردو كانوا ضد الإنفاق الحكومي — قالوا الحكومة تبقى بسيطة، تشتغل في الدفاع والأمن بس، والفلوس في إيد القطاع الخاص أحسن من إيد الحكومة لأنها بتتبذر. **الحديثة:** بعد الكساد الكبير سنة 1929 وجه كينز وآخرين انتبهوا إن الإنفاق العام ضروري جداً — لأن الدولة اتوسعت، ولأن الإنفاق العام بيأثر على الإنتاج والتوزيع ومستوى النشاط الاقتصادي. يعني الدولة الحديثة مش ممكن تتجاهل دورها كمنفق.

MCQs:

Q1. According to the traditional view, the state's functions should be restricted to:

- A) Education, health, and transport
- B) Justice, police, and arms
- C) Industry, agriculture, and trade
- D) Social security and welfare

Answer: B

Q2. Which economist stated "if you want a peaceful government you must reduce the budget"?

- A) Adam Smith
- B) Keynes
- C) Ricardo
- D) Musgrave

Answer: C

Q3. The modern view of public expenditure gained importance mainly after:

- A) World War II
- B) The Great Depression of the 1930s
- C) The Industrial Revolution
- D) The 2008 financial crisis

Answer: B

Q4. Prof. R.A. Musgrave is associated with advocating the significance of:

- A) Minimum state intervention
- B) Private household finance
- C) Public household and public expenditure
- D) Eliminating all transfer payments

Answer: C

Q5. According to the modern view, public expenditure can have important effects on:

- A) Only the price level
- B) Production, distribution, and the general level of economic activity
- C) Only military strength

D) Private consumption alone

Answer: B

POINT 3: Classification of Public Expenditure

Public expenditure is classified based on different economists' viewpoints into four main criteria:

1. Benefit Criteria:

- A) Common benefit expenditure (e.g., defense, universal education)
- B) Special benefit expenditure (e.g., poor relief, subsidies to certain industries)

2. Revenue Criteria:

- A) Expenditure without any direct return (e.g., poor relief — Transfer expenditure)
- B) Expenditure without direct return but indirectly beneficial (e.g., free education)
- C) Expenditure with return or even profit (e.g., investment in railways)

3. Functional Criteria:

- A) Protective Functions: defense, police, judiciary, prisons
- B) Developmental Functions: education, public health, infrastructure (railways)
- C) Recurrent Functions: wages, salaries, interest payments, subsidies, transfers

4. Priority Criteria:

- A) Primary expenditure: essential for state existence — defense, law and order, civil administration, debt payment
- B) Secondary expenditure: education, public health, poor relief, unemployment relief, social security

شرح بسيط : الإنفاق العام ممكن نصنّفه بأكثر من طريقة:

معيّار الفائدة: فيه إنفاق فايدته للكل زي الدفاع، وفيه إنفاق فايدته لفئة معينة زي دعم الفقراء.
معيّار الإراد: فيه إنفاق مش رح يرجع منه فلوس خالص زي مساعدات الفقراء، وفيه إنفاق بيرجع منه عائد غير مباشر زي التعليم المجاني لأن الطالب المتعلم يبقي أكثر إنتاجية، وفيه إنفاق بيرجع منه ربح زي الاستثمار في السكة الحديد.

معيّار الوظيفة: وقايتّه (أمن ودفاع)، تنمية (تعليم وصحة وبنية تحتية)، تكرارية (مرتبات وفوائد ديون).
معيّار الأولوية: إنفاق أساسي لازم يكون زي الدفاع والإدارة المدنية، وإنفاق ثانوي ضروري لكن مش شرط زي الصحة والتعليم.

MCQs:

Q1. According to the Benefit Criteria, expenditure on defense and universal education is classified as:

- A) Special benefit expenditure
- B) Common benefit expenditure
- C) Developmental expenditure
- D) Secondary expenditure

Answer: B

Q2. Under the Revenue Criteria, investment in public railways is an example of:

- A) Expenditure without any direct return
- B) Transfer expenditure
- C) Expenditure with return or even profit
- D) Recurrent expenditure

Answer: C

Q3. Which of the following falls under Protective Functions in the Functional Criteria?

- A) Building railways and airports
- B) Paying salaries to civil servants
- C) Expenditure on defense, police, and judiciary
- D) Providing free education

Answer: C

Q4. Primary expenditure under the Priority Criteria includes:

- A) Unemployment relief and social security

- B) Public health and poor relief
- C) Defense, law and order, and payment of debt
- D) Subsidies to agriculture

Answer: C

Q5. Free education is an example of expenditure that is:

- A) Without any return whatsoever
- B) Without direct return but indirectly beneficial
- C) With direct profit to the government
- D) A purely protective function

Answer: B

POINT 4: Canons (Principles) of Public Expenditure

There are several principles aimed at maximizing the gains from public expenditure:

1. Canon of Benefit: Expenditure should maximize social benefits — increase production, protect against aggression, maintain order, and reduce inequality. The major canon is maximum social benefit.

2. Canon of Economy: Expenditure should be incurred carefully and economically, avoiding waste. It must be productive and efficient, incurred only on essential items at minimum cost.

3. Canon of Sanctioned: Expenditure must be sanctioned (approved) by a competent authority before being incurred. The money must be spent on the purpose for which it was sanctioned, and accounts must be properly audited.

4. Canon of Elasticity: Expenditure should be fairly elastic — public authorities must be able to vary it according to needs. Perfect elasticity is out of question, but a fair degree of elasticity is essential, especially in the downward direction.

5. Canon of Productivity: Expenditure should stimulate productivity, foster capital formation, and generate employment opportunities.

6. Canon of Equitable Distribution: Expenditure should help equitable distribution of wealth, providing more benefit to the backward sections of society.

شرح بسيط : دي مبادئ زي معايير بنقيّم بيها هل الإنفاق الحكومي كويس ولا لأ:
الفائدة: لازم الإنفاق يعود بأكبر فائدة على المجتمع كله مش على فئة معينة.
الاقتصاد: لا هدر ولا بذخ — الفلوس تتصرف بكفاءة في حاجات ضرورية.
الإنذار: مفيش صرف من غير موافقة جهة مختصة، والفلوس تتصرف في الغرض المعتمد وتراجع حساباتها.
المرونة: لازم الحكومة تقدر تزود أو تقلل الإنفاق حسب الظروف — المرونة للتقليل أصعب لأنها بتعمل استياء اجتماعي.
الإنتاجية: الإنفاق يكون في حاجات بتشجع الإنتاج وتخلق وظائف.
العدالة التوزيعية: الإنفاق يراعي الفئات الأضعف في المجتمع.

MCQs:

Q1. The Canon of Economy implies that public expenditure should be:

- A) As large as possible to stimulate the economy
- B) Incurred carefully, avoiding waste, and limited to essential items
- C) Freely distributed among all social classes equally
- D) Decided solely by private sector advisors

Answer: B

Q2. The Canon of Sanctioned means that public expenditure must:

- A) Be approved by international organizations
- B) Be incurred only on military needs
- C) Be approved by a competent authority and spent on the sanctioned purpose
- D) Automatically increase every fiscal year

Answer: C

Q3. The Canon of Elasticity is most needed in which direction?

- A) Upward direction only
- B) Downward direction, as cutting expenditure creates social discontent
- C) Horizontal direction across sectors
- D) Both directions equally and easily

Answer: B

Q4. Which canon focuses on fostering capital formation and generating employment opportunities?

- A) Canon of Economy
- B) Canon of Sanctioned
- C) Canon of Benefit
- D) Canon of Productivity

Answer: D

Q5. The Canon of Equitable Distribution requires that government expenditure should:

- A) Focus on profitable industries only
- B) Benefit mainly the wealthy to stimulate investment
- C) Provide more benefit to backward sections of society
- D) Be allocated equally across all income groups

Answer: C



POINT 5: Growth of Public Expenditure — Reasons

The growth of public expenditure has characterized both developed and underdeveloped countries. Main reasons:

1. Technical Factors: Productivity increases less in the public sector than the private sector, so the cost of public services increases, leading to higher government expenditure.

2. Wars: One of the major causes of increasing public expenditure — the effects do not terminate with the end of war.

3. Urbanization: Increased urbanization raises public expenditure as cities require water supply, traffic control, and other costly services.

4. Changes in the Nature of Publicly Provided Goods: Change in societal attitude changed the nature and scope of goods provided by the government.

5. Growth of Public Sector Employment: Along with expanded government services, public sector employment grew, increasing expenditure in the form of wages and salaries.

6. Growth of Democratic Institutions: The development of democracy increased demands on government, influencing the growth of public expenditure.

7. Population Growth: Growing population increases government responsibilities for basic services like food, housing, unemployment relief, sanitation, and drinking water.

8. Industrial Development: Rapid industrialization requires government investment in basic and key industries, plus incentives to the private sector for balanced regional development.

شرح بسيط : ليه الإنفاق الحكومي بيزيد مع الوقت؟ في 8 أسباب رئيسية:
الأول عوامل تقنية — القطاع العام بيزيد تكاليفه لأن إنتاجيته بترتفع ببطء أكثر من القطاع الخاص. الحروب بترفع الإنفاق ومش بتوقف مع نهاية الحرب. التمدن والنمو السكاني بيزودوا احتياجات البنية التحتية والخدمات. التحول الديمقراطي خلى الحكومات تستجيب لمطالب الناس أكثر. والتصنيع الصناعي محتاج استثمار حكومي في الصناعات الأساسية.

MCQs:

Q1. Technical factors as a reason for growth of public expenditure refer to:

- A) Advances in military technology only
- B) The fact that productivity increases less in the public sector, raising costs of services
- C) The adoption of new tax collection technologies
- D) Growth in the private sector productivity

Answer: B

Q2. Wars cause a permanent increase in public expenditure because:

- A) Governments always increase taxes after wars
- B) Military technology keeps improving
- C) The effects of war expenditure do not terminate with the end of war
- D) Wars destroy private sector capacity permanently

Answer: C

Q3. Urbanization leads to an increase in public expenditure because:

- A) Urban areas produce more tax revenue
- B) Cities require costly services like water supply and traffic control
- C) Urban workers demand higher private sector wages
- D) Urban areas reduce the need for social security

Answer: B

Q4. The growth of democratic institutions influences public expenditure by:

- A) Reducing government accountability
- B) Eliminating the need for public services
- C) Increasing citizen demands that governments must respond to

D) Concentrating spending decisions in the private sector

Answer: C

Q5. To achieve rapid industrialization, the government needs to:

A) Reduce all forms of expenditure

B) Develop basic and key industries and offer incentives to private sector

C) Restrict foreign investment

D) Privatize all state-owned enterprises immediately

Answer: B

 POINT 6: Effects of Public Expenditure on Production and Price Level — Three Types

For study analysis, public expenditures are classified into:

1. Government Consumption Expenditure (Current Expenditure): Includes spending on final goods and wage/salary accruals. An increase shifts Aggregate Demand (AD) upward.

- With **elastic supply**: increase in national income is larger than increase in price → good for recession.
- With **inelastic supply**: increase in price is larger than increase in income → inflationary pressure, little real GDP gain.
- **Key conclusion**: The effect depends on how responsive supply is.

2. Investment (Capital) Government Expenditure: Spending on infrastructure (roads, rails, airports) and human capital (education, health, training). It increases AD and also makes Aggregate Supply (AS) more elastic over time — the economy can produce more at lower cost and higher quality.

3. Transfer Payments and Subsidies:

- **A. Transfer payments:** Money transfers with no goods/services transaction (e.g., social security, pensions, unemployment grants, financial aid to business).
- **B. Subsidies in kind:** e.g., medical insurance (Medicaid).
- **C. Price subsidies:** e.g., public housing rented below market rate.

شرح بسيط : الإنفاق العام يـأثر على الإنتاج والأسعار بثلاث طرق:
الإنفاق الاستهلاكي الجاري زي المرتبات والبضائع — يرفع الطلب الكلي (AD). لو العرض مرن → دخل وطني يزيد أكثر من الأسعار. لو العرض غير مرن (زي في البلد النامية) → الأسعار بترتفع أكثر من الدخل.
الإنفاق الرأسمالي والاستثماري زي الطرق والمستشفيات والتعليم — يرفع الطلب الكلي في البداية، وبعد فترة بيرفع كمان العرض الكلي ويخليه أكثر مرونة، فالأسعار بتنخفض والإنتاج يزيد.
التحويلات والدعم مش بيشتري سلع مباشرة لكن بيحوّل فلوس أو بيقدم خدمات للناس. فيه تحويلات نقدية (زي إعانة البطالة)، ودعم عيني (زي التأمين الصحي)، ودعم أسعار (زي الإسكان الاجتماعي).

MCQs:

Q1. When government consumption expenditure increases with an elastic supply curve:

- A) Price increases more than national income
- B) National income increases more than price
- C) Both price and income remain unchanged
- D) Aggregate demand shifts downward

Answer: B

Q2. When government consumption spending occurs in a developing economy with an inelastic supply curve, the main result is:

- A) Large increase in real GDP with stable prices
- B) Inflationary pressures and little increase in real GDP
- C) Decrease in aggregate demand
- D) Reduction in price level

Answer: B

Q3. Investment (capital) government expenditure differs from consumption expenditure because it:

- A) Reduces aggregate demand over time
- B) Only affects the price level

- C) Also makes aggregate supply more elastic after a period of time
- D) Has no effect on human capital

Answer: C

Q4. Transfer payments are defined as:

- A) Government spending on goods and services directly
- B) Transfers of money that do not involve transactions of goods and services
- C) Investment in physical infrastructure
- D) Tax revenues transferred to other governments

Answer: B

Q5. Which of the following is an example of a Subsidy in kind?

- A) Unemployment grant
- B) Public housing rented below market rate
- C) Medical insurance (Medicaid)
- D) Pension payments

Answer: C

POINT 7: Effect of Production Subsidy (Unit Subsidy)

A **production subsidy** (government incentive) is financial aid extended to a producer to promote economic and social policy. Forms: direct (cash grants, interest-free loans) and indirect (tax breaks, low-interest loans, accelerated depreciation).

Case 1 — Elastic (increasing) supply:

- Before subsidy: equilibrium at A (price P_1 , quantity Q_1).
- Subsidy reduces marginal cost → supply curve shifts down (S_1 to S_2).
- New equilibrium at B (price P_2 , quantity Q_2).
- Consumer price falls from P_1 to P_2 ; producer receives P_3 ($= P_2 + \text{subsidy per unit BC}$).

- Subsidy benefit is split: consumer gets ($GB = P_1P_2$ per unit); producer gets ($CG = P_3P_1$ per unit).
- **Conclusion:** The benefit is shared — producer gets less than consumer because supply is elastic.

Case 2 — Perfectly elastic (constant cost) supply:

- Consumer gets ALL the benefit (price falls by the full subsidy amount).
- Producer gets zero benefit.
- **Key Rule:** The more elastic the supply, the less benefit of subsidy to producer.

Effect of demand elasticity:

- Elastic demand → subsidy mainly increases equilibrium quantity.
- Inelastic demand → subsidy mainly reduces equilibrium price.
- **Key Rule:** The more elastic the demand, the less benefit of subsidy to consumer.

شرح بسيط : الدعم الإنتاجي (unit subsidy) هو مبلغ بتديه الحكومة للمنتج عن كل وحدة ينتجها. الأثر: يقلل التكلفة الحدية للمنتج → منحني العرض ينزل → السعر ينخفض والكمية بتزيد. لكن مين اللي بياخد الفائدة؟ لو العرض مرن → المنتج بياخد جزء أصغر والمستهلك بياخد جزء أكبر. لو العرض مرن تماماً → المنتج مش بياخد أي فائدة والمستهلك بياخد كل الفائدة. ومن ناحية الطلب: لو الطلب مرن → الدعم بيزود الكمية أكثر ما بيخفض السعر. لو الطلب غير مرن → الدعم بيخفض السعر بشكل أكبر. خلاصة مهمة جداً للامتحان: كل ما العرض يبقى أكثر مرونة، المنتج بياخد أقل فائدة من الدعم. وكل ما الطلب يبقى أكثر مرونة، المستهلك بياخد أقل فائدة من الدعم.

MCQs:

Q1. A unit production subsidy is:

- A) A tax imposed on each unit produced
- B) A specific sum per unit produced given to the producer
- C) A price ceiling imposed by the government
- D) A cash transfer given directly to consumers

Answer: B

Q2. When the government gives a unit subsidy to a producer, the supply curve will:

- A) Shift upward by the amount of the subsidy
- B) Shift downward in parallel by the amount of the subsidy
- C) Become perfectly inelastic
- D) Remain unchanged

Answer: B

Q3. When supply is perfectly elastic, the benefit of the subsidy goes:

- A) Entirely to the producer
- B) Equally between consumer and producer
- C) Entirely to the consumer
- D) Entirely to the government

Answer: C

Q4. When demand is inelastic, the main effect of a subsidy is:

- A) A large increase in equilibrium quantity
- B) No change in equilibrium price
- C) A larger reduction in equilibrium price
- D) A reduction in consumer surplus

Answer: C

Q5. "The more elasticity of supply, the less benefit of subsidy to producer." This means:

- A) Elastic supply gives producers more revenue
- B) In competitive markets, subsidies always favor producers
- C) When supply is elastic, most subsidy benefit passes to consumers through lower prices

D) Subsidies are only effective when supply is inelastic

Answer: C

POINT 8: Effect of Unemployment Grant on Work Incentives ($B = G - T \times E$)

The program is characterized by two variables:

- **G (Basic Grant):** Amount received when the person is not working at all.
- **T (Grant Reduction Rate):** The rate by which the grant is reduced for each dollar earned.

Formula: $B = G - T \times E$ Where B = Benefit received, E = Earnings. When $B = 0$, the breakeven earnings level = G/T .

The budget line becomes **kinked (ASQ)**: from Q (zero work, receives G) the line rises as the person works more but at a flatter slope (effective wage reduced),

until point S where earnings reach G/T and benefit becomes zero — after which the person moves along the original budget line.

Key result: The unemployment grant causes this person to work fewer hours (L2T instead of L1T) while receiving higher total income (Y2 instead of Y1).

The government welfare program could reduce the work incentive.

شرح بسيط : إعانة البطالة فكرتها بسيطة: الشخص الذي مش بيشغل بياخد مبلغ أساسي (G)، لكن كل ما بيكسب فلوس، الإعانة بتقل بنسبة (T). يعني لو كسب كتير أوي، الإعانة بتوصل لصفر.

المعادلة: $B = G - T \times E$

مثال:

صفر = $B = 300 - (0.25 \times 1200)$ → لو اشتغل وكسب 1200 دولار → $T = 25\%$ ، دولار 300 = G.
الأثر على العمل:

الشخص بعد الإعانة بيختار يشتغل أقل لأن دخله الكلي (كسب + إعانة) بيكون مقبول وهو شغال ساعات أقل. فالنتيجة المهمة: برامج الرفاه الاجتماعي ممكن تقلل الحافز على العمل.

MCQs:

Q1. In the unemployment grant formula $B = G - T \times E$, the variable T represents:

A) Total income after grant

- B) The basic grant amount
- C) The grant reduction rate applied to earnings
- D) The tax paid to the government

Answer: C

Q2. The benefit received (B) becomes zero when earnings (E) reach:

- A) $G \times T$
- B) $G + T$
- C) G / T
- D) $G - T$

Answer: C

Q3. Suppose $G = \$300$ and $T = 25\%$. If a person earns \$800, the benefit received is:

- A) \$300
- B) \$200
- C) \$100
- D) \$0

Answer: C ($B = 300 - 0.25 \times 800 = 300 - 200 = 100$)

Q4. After the introduction of an unemployment grant, the budget line becomes:

- A) A straight downward-sloping line
- B) A perfectly horizontal line
- C) A kinked line (ASQ) reflecting reduced effective wage during the benefit phase
- D) An upward-sloping line

Answer: C

Q5. The main conclusion about unemployment grants and work incentives is:

- A) They always increase the number of working hours
- B) They have no effect on labor supply decisions
- C) The government welfare program could reduce the work incentive
- D) They eliminate leisure time completely

Answer: C



POINT 9: Effect of Medicaid on Work Incentives and Resource Efficiency

Effect on Work Incentives: Medicaid provides health insurance to low-income persons. When a family's income rises above the eligibility threshold (Z dollars), they immediately lose Medicaid worth \$1,000/year.

The budget line in the presence of Medicaid becomes **NRSD** (kinked with a notch at point R):

- At zero work → person has in-kind income of \$1,000 (point N).
- As income rises to Z → person loses \$1,000 in Medicaid (drops from R to S).
- **The notch at R creates work disincentive:** staying just below Z earnings is rational to keep Medicaid.
- **Conclusion: Medicaid creates work disincentives to keep earnings below the cut-off level Z.**

Effect on Resource Efficiency (Excess Burden): Medicaid reduces the price of medical services to zero for low-income persons. This causes overconsumption beyond the efficient quantity.

- Before subsidy: equilibrium at E1 (price P^* , quantity Q^*) — efficient.
- After full Medicaid subsidy (price = 0): equilibrium at E2 (quantity $Q_1 > Q^*$).
- **Excess burden = $\Delta E_1 E_2 A$** — the deadweight loss from consuming beyond the point where marginal benefit equals marginal cost.

شرح بسيط : الميديكيد هو تأمين صحي حكومي للفقراء في أمريكا. الإشكالية إليه؟
أثر على الحافز للعمل: لو دخل الشخص وصل فوق حد معين (Z)، يخسر التأمين الصحي اللي بيساوي 1000 دولار في السنة. فيفضل ميشغلش أكثر عشان ميخسرش الميديكيد — يعني بيفضل دخله تحت حد Z. ده بيخلق "notch" في منحى الميزانية ويقلل الحافز على العمل.
أثر على كفاءة الموارد: لما سعر الخدمة الطبية بيبقى صفر → الناس بتستهلك أكثر من الكمية الكافية. فيه excess burden (عبء زائد) بيعكس خسارة كفاءة لأن الناس بتاخذ خدمات طبية حتى لو فايدتها الحدية أقل من التكلفة.

MCQs:

Q1. Medicaid creates work disincentives because:

- A) It pays workers higher wages to stay home
- B) It taxes all additional income above a threshold
- C) When income reaches the cut-off level Z, the person immediately loses Medicaid benefits worth \$1,000
- D) It reduces the basic grant amount for all recipients

Answer: C

Q2. The budget line in the presence of Medicaid is:

- A) A straight downward-sloping line DT
- B) A kinked line NRSD with a notch at point R
- C) A perfectly horizontal line
- D) An upward-sloping curve

Answer: B

Q3. At zero working hours in the presence of Medicaid (point N in the figure), the person receives:

- A) Zero income
- B) In-kind income equal to the value of Medicaid (\$1,000)
- C) Only their wage rate

D) The basic unemployment grant G

Answer: B

Q4. The excess burden of Medicaid subsidy ($\Delta E1E2A$) represents:

A) The gain in consumer surplus from the program

B) The government's total cost of providing Medicaid

C) The loss in efficiency due to consumption of medical services beyond the efficient quantity

D) The reduction in producer surplus

Answer: C

*_Q5. Before Medicaid, the efficient equilibrium price P is described as efficient because: _**

A) It is the lowest price the government can set

B) At P^* , marginal benefits equal marginal costs of medical services

C) It maximizes the government's tax revenue

D) It eliminates all consumer surplus

Answer: B



POINT 10: Effects of Public Expenditure on Economic Stability and Equity

Economic Stability: Cyclical changes (Trade Cycles: recession, depression, recovery, boom) are inherent in market economies.

Public Expenditure and Depression: According to Keynes, during depression the government should increase public expenditure (public works, infrastructure) → increases employment and aggregate demand → generates multiplier effect on income → acts as antidote to depression.

Effects on Equity (Income Distribution): Public expenditure affects distribution through:

1. Regional Inequality: Government expenditure on backward areas raises their production and income levels, helping them catch up with developed regions. Financial help to small-scale and cottage industries also reduces regional inequality.

2. Benefit to the Weaker Section: Government spending on education, medical care, unemployment allowances (funded by taxes on the rich) raises the real income of poor people, tilting distribution in their favor.

3. Increase in Ability to Work of the Poor:

- **Direct Help:** Cash, commodities, and services.
- **Indirect Help:** Low-interest loans, food at fair price, social services → increased efficiency and improved standard of living.

Equity–Efficiency Trade-Offs: In many programs, tradeoffs exist between equity and efficiency. When government achieves more equitable income distribution, it may: decrease incentives to work, and distort consumption patterns → causing efficiency losses. Moving from A to B on the tradeoff curve: a slight increase in equity requires giving up a lot of efficiency.

Managing the Trade-Offs:

- Growth promotion targeted at policy objectives.
- Competitive tendering for public procurement.
- Control and audit of spending efficiency.
- Transparency in spending plans.
- Public scrutiny (ex ante and ex post accountability).

شرح بسيط : الاستقرار الاقتصادي: الاقتصاد يمر بدورات — ركود وانتعاش وانتعاش وكساد. وقت الكساد، الحكومة تزود الإنفاق على المشاريع العامة → يزيد التوظيف والطلب الكلي → يولد ضاعف دخل → بيعالج الكساد. ده الفكر الكينزي.

العدالة في التوزيع: الإنفاق العام يقلل التفاوت بثلاث طرق: يطور المناطق الفقيرة، بيدي خدمات للفئات الضعيفة، ويزود قدرة الفقراء على العمل.

الـ Trade-off بين العدالة والكفاءة: الإشكالية الكبيرة إن لما الحكومة بتحاول تحقق عدالة أكثر (توزيع دخل أفضل)، ممكن تقلل الكفاءة — لأن الناس بتشتغل أقل أو بتستهلك بطريقة مش مثالية. فيه منحى trade-off بيوضح إن علشان تزيد العدالة شوية، لازم تضحي بكتير من الكفاءة.

MCQs:

Q1. According to Keynes, the government's response during depression should be:

- A) Reduce public expenditure to balance the budget

- B) Increase taxes to reduce consumer spending
- C) Increase public expenditure on public works and infrastructure to stimulate demand
- D) Allow the market to self-correct without intervention

Answer: C

Q2. Public expenditure helps reduce regional inequality by:

- A) Concentrating investment in already developed urban areas
- B) Focusing expenditure on backward areas to raise their production and income levels
- C) Taxing richer regions and sending cash to poorer regions only
- D) Privatizing industries in all regions equally

Answer: B

Q3. "Benefit to the Weaker Section" means that government spending on social services:

- A) Primarily benefits wealthy taxpayers
- B) Reduces the real income of the poor
- C) Raises the real income of poor people by funding services collected through taxes on the rich
- D) Has no effect on income distribution

Answer: C

Q4. The Equity–Efficiency Trade-Off in public expenditure programs means:

- A) More equity always leads to more efficiency
- B) Achieving more equitable distribution may decrease work incentives and distort consumption, causing efficiency losses
- C) Efficiency and equity objectives always complement each other

D) Government programs can always achieve both goals simultaneously

Answer: B

Q5. Which of the following is a general principle for managing the Equity–Efficiency Trade-Off?

- A) Eliminate all social spending programs
- B) Concentrate spending only on military sectors
- C) Use competitive tendering and maintain transparency and public scrutiny
- D) Allow private firms to set all public spending priorities

Answer: C